a company in another country (in host country) with the intention to manage the asset or the company. The investing company exercises control over decision-making in an enterprise located in a foreign country according to the level of equity shares held by it.

The foreign direct investments take the following forms

1. Establishment of a new enterprise in a foreign country.
2. Expansion of existing branch or subsidiary in a foreign country.
3. Acquisition of enterprise located in a foreign country.

Prior to 1999, FDI was permitted selectively on a case to case basis with a normal ceiling of 40% of total equity capital. However a higher percentage of equity was permitted in the case of high-tech import areas and export oriented units. After the Economic liberalisation, the ceiling was removed and 100% of foreign equities are permitted only in selected sectors.

Meaning

Foreign direct investment (FDI) is an investment made by a company or an individual in one country with business interests in another country, in the form of either establishing business operations or acquiring business assets in the other country, such as ownership or controlling interest in a foreign company.

Advantages of FDI

1. **Achieving Higher Growth in National Income** Developing countries get much needed capital through FDI to achieve higher rate of growth in national income.
2. **Help in Addressing BOP Crisis** FDI provides inflow of foreign exchange resources into a country. This helps the country to solve adverse balance of payment position.
3. **Faster Economic Development** FDI brings technology, management and marketing skills along with it. These are crucial for achieving faster economic development of developing countries.
4. **Generating Employment Opportunities** FDI generates a lot of employment opportunities in developing countries, especially in high skill areas.
5. **Encouraging Competition in Host Countries** Entry of FDI into developing country promotes healthy competition therein. This leads to enterprise in developing countries operating efficiently and effectively in the market. Consumers get a variety of products of good quality at market determined price which usually benefits the customers.

Disadvantages of FDI

1. Exploiting Natural Resources: The FDI Companies deplete natural resources like water, forest, mines etc. As a result such resources are not available for the usage of common man in the host country.

2. Heavy Outflow of capital Foreign companies are said to take away huge funds in the form of dividend, royalty fees etc. This causes a huge outflow of capital from the host country.

3. Not Transferring Technology Some foreign enterprises do not transfer the

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